

INDEPENDENT ANALYSIS

Washington Fiscal Performance Review

How to tell what Washington budget growth actually bought

Independent Washington Fiscal Analysis

Public edition | Washington state fiscal policy and performance

Current through October 4, 2026

This is an independent analytical review, not an official fiscal note or an endorsement of a political platform. Figures are rounded; source dates and definitions matter.

What I would claim

Washington's fiscal picture is more specific than the usual high-tax/high-spending argument. The tax system leans heavily on sales and gross-receipts taxes, the operating budget has grown faster than population and general inflation, and several large programs deserve a closer productivity review.

The question I would take into a budget office

When spending rises, how much is explained by population, caseload, compensation, provider rates, new legal obligations and service expansion - and how much remains after those drivers are removed?

Three findings anchor the review:

- Washington ranked 28th among states in state-and-local taxes per \$1,000 of personal income in 2023; DOR says this measure has been below the U.S. average since 2000.
- Washington ranked 36th in state-and-local direct general expenditures per \$1,000 of personal income in 2023, so the evidence does not support describing the state as unusually large on that measure.
- After a simple population-and-CPI adjustment, the 2025-27 operating baseline is still materially larger than the revised 2015-17 baseline. The fund definitions are not identical: the 2026 NGF-O measure includes the Workforce Education Investment and Fair Start for Kids accounts that were outside the 2015 NGF-P base. That pushes the measured increase upward, especially in higher education and human services, so I use the comparison as a starting point rather than a final answer.

Sources: OFM Revenue Trends (FY2023); OFM Expenditures Trends (FY2023); Washington DOR Comparative State and Local Taxes.

METHOD

Start with what can actually move

Before discussing a cut or expansion, I sort the spending first. Debt service, entitlement caseloads and constitutionally protected services do not belong in the same bucket as travel, procurement or back-office costs.

Bucket	What belongs here	What I would test
Legal / constitutional core	Basic education, statutory or court-driven commitments	Minimum compliant service level and delivery cost
Entitlement / caseload	Medicaid, long-term care, income or service programs driven by eligibility	People served, utilization, provider rate and unit cost
Debt / contract	Bond debt, binding contracts	What can change prospectively
Discretionary program	Programs that can be redesigned, consolidated or sunset	Outcome, duplication, cost per result
Administration / delivery	Staffing, procurement, controls, systems, back office	Same service at lower cost or fewer errors

Four accounting rules

- A fund shift is not an efficiency saving unless total governmental cost falls.
- Do not count expected reversions twice.
- Show federal match lost when a state-dollar reduction also removes federal dollars.
- Do not lower the recurring base until the operating change exists and the saving is measurable.

Where the \$80.2 billion goes

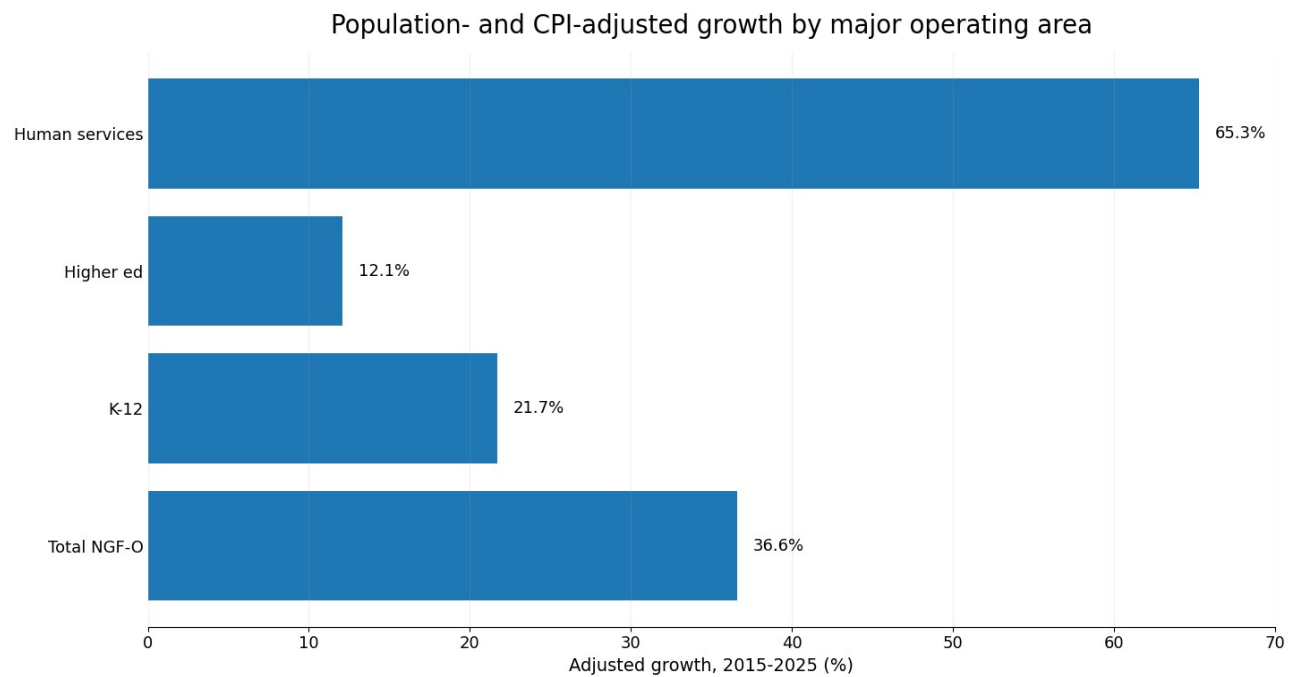
The common baseline used here is the 2025-27 Near General Fund-Outlook structure in the Legislature's 2026 supplemental conference materials: about \$80.206 billion before assumed reversions.

Area	Approx. NGF-O	Comment
K-12 public schools	\$33.875B	Basic education has unusually strong constitutional protection.
DSHS	\$12.418B	Long-term care, developmental disabilities, mental health, economic services and support.
Health Care Authority	~\$9.4B	State Medicaid and behavioral-health funding; all-funds total is much larger with federal match.
Higher education	\$6.099B	Colleges, universities and state student-aid support.
DCYF	~\$5.856B	Child welfare, juvenile rehabilitation, early learning and related support.
Corrections	\$3.385B	Prisons, supervision and related operations.
General government	\$2.177B	About 2.7% of baseline.
Special appropriations	\$4.188B	Includes roughly \$3.188B of bond retirement and interest.
Other operating areas / rounding	~\$2.81B	Natural resources, judiciary/legislature, other education, NGF transportation and smaller lines.

Source: 2025-27 Omnibus Operating Budget - 2026 Supplemental, Conference Proposal, Statewide Summary (March 11, 2026).

Growth after population and inflation

OFM reports 7.061 million residents in 2015 and 8.115 million in 2025, a 14.9% increase. BLS annual-average CPI-U rose from 237.017 to 315.285 over the same period, or 33.0%. Together those changes imply a 52.9% adjustment. I use legislative compromise-stage summaries at both ends: the March 2016 Proposed Final and the March 2026 Conference Proposal. The population and CPI observations are calendar-year anchors for the ten-year comparison.



Area	Revised 2015-17 (\$B)	Revised 2025-27 (\$B)	Nominal change	Pop.+CPI-adjusted change
Total NGF	38.410	80.206	+108.8%	+36.6%
K-12 public schools	18.197	33.875	+86.2%	+21.7%
Higher education	3.558	6.099	+71.4%	+12.1%
Human services	12.514	31.618	+152.7%	+65.3%

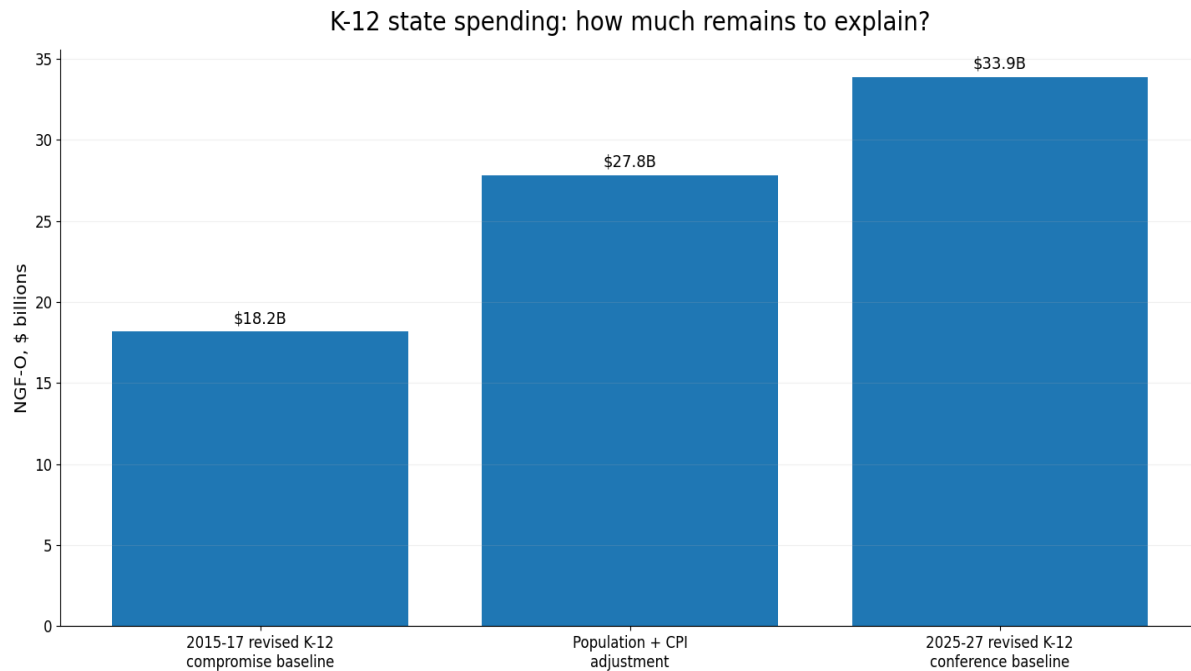
Fund-definition caveat: the 2015 summary uses NGF-P (GF-S + ELT + Opportunity Pathways), while the 2026 NGF-O definition also includes Workforce Education Investment and Fair Start for Kids accounts. That change pushes measured growth upward, particularly in higher education and human services. Use the table to audit the chart; I would not treat it as a strict same-fund time series.

Sources: OFM Population Changes; BLS CPI-U annual-average index, 2015 and 2025; 2016 Supplemental Operating Budget Proposed Final; 2026 Supplemental Conference Proposal. Fund and category definitions changed over the decade.

WORKED EXAMPLE

K-12: explain the remaining growth before judging it

Using the matched compromise-stage summaries, K-12 rises from \$18.197B in the revised 2015-17 budget to \$33.875B in the revised 2025-27 conference baseline, an 86.2% nominal increase. The population-and-CPI adjustment produces \$27.820B. That leaves about \$6.055B of additional state K-12 spending to explain.



One driver can already be quantified

The 2017 operating budget identified \$164.287M in FY2018 and \$1.200417B in FY2019 solely for HB 2242 implementation. The 2018 supplemental added \$750.790M in FY2019 solely for E2SSB 6362, bringing the explicit FY2019 implementation level to about \$1.951B. Across the 2017-19 biennium, those named appropriations sum to \$2.115B.

The \$2.115B biennial sum understates the ongoing effect because FY2019 was much closer to the implemented funding level than FY2018. Using the \$1.951B FY2019 level for two years gives about \$3.902B, roughly 64% of the \$6.055B that still needs an explanation. I use that number only to judge magnitude; it is not a 2025-27 appropriation estimate. About \$2.153B remains to be broken down across enrollment, compensation, special education, transportation, categorical programs and later policy changes.

My read is that the K-12 story is mainly about policy and financing. McCleary explains a large share of the state increase, and the 2017 levy swap means some state dollars replaced local levy support. I would compare state and local K-12 spending together before drawing a conclusion about excess cost.

What happened to visible outcomes?

Measure	Washington	U.S. comparison	Read
4-year graduation	78.1% - Class of 2015 -> 82.6% - 2024-25	No national series used here	Improved
NAEP Grade 4 math	245 - 2015 -> 238 - 2024 (-7)	240 - 2015 -> 237 - 2024 (-3)	WA decline larger by 4 points
NAEP Grade 8 math	287 - 2015 -> 274 - 2024 (-13)	281 - 2015 -> 272 - 2024 (-9)	WA decline larger by 4 points

National NAEP math scores also fell over the period, so Washington's decline cannot be read as a clean state-policy effect. From 2015 to 2024, Washington fell 7 points in Grade 4 versus a 3-point national public-school decline, and 13 points in Grade 8 versus a 9-point national decline. Washington's decline was 4 points larger in each grade, but the national drop and pandemic-era disruption remain important confounders when interpreting spending and outcomes.

Sources: 2016 Supplemental Proposed Final; 2026 Supplemental Conference Proposal; 2017 ESSB 5883, sec. 517; 2018 ESSB 6032, sec. 501(7); HB 2242 and E2SSB 6362 legislative bill reports; OSPI graduation measure; NCES 2015 math tables; OSPI/NAEP 2024 state snapshots.

What the tax mix tells me

2023 interstate measure	Washington	Rank / context
State + local taxes per \$1,000 personal income	\$95.12	28th; OFM reports Washington below the all-state average on this measure since 2000.
State + local direct general expenditures per \$1,000 personal income	\$170.25	36th; OFM says Washington has generally approximated the 50-state average since 2000.
State + local sales taxes per capita	2nd of 50 states	FY2023 OFM ranking based on Census State & Local Government Finances; OFM says this highlights heavy reliance on general and selective sales taxes.

These rankings use FY2023 Census/BEA data. They predate the significant 2025 and 2026 Washington tax changes described below, so they should be read as a historical baseline rather than a current interstate ranking; Washington's relative position may move when newer Census finance data becomes available.

The tax-design issue is visible in the mix. Washington relies heavily on retail sales/use taxes and on the B&O gross-receipts tax. B&O taxes receipts rather than profit, which can produce very different burdens for low-margin and high-margin firms with similar revenue.

Current-law context matters

As of October 4, 2026, the review reflects the major 2025 and 2026 changes already enacted. In 2025, Washington changed B&O service rates, imposed a temporary surcharge on very large businesses and moved additional services into the retail-sales-tax base. ESSB 6346 became Chapter 238, Laws of 2026; current statute imposes a 9.9% tax on Washington taxable income above the \$1 million standard deduction beginning January 1, 2028, with first returns due in 2029.

Initiative 645 completed signature verification in July and is certified for the November 3, 2026 general-election ballot. The House Office of Program Research summary says the measure would repeal the 9.9% tax and prohibit state and local taxes on individual income. Because the vote can change the current-law baseline, this section should be refreshed after November 3.

Sources: OFM Revenue Trends and Expenditures Trends; U.S. Census State & Local Government Finances as summarized by OFM; DOR 2025/2026 Tax Legislation; RCW 82A.04.030; House Office of Program Research summary of Initiative 26-645; Washington Secretary of State certification/status records.

BUDGET REVIEW SCENARIOS

I would not apply a percentage target to the full \$80.206B budget. First I remove three clearly constrained blocks: \$3.188B of bond retirement and interest; \$29.417B of K-12 general apportionment, special education and pupil transportation; and \$15.871B of HCA Medical Assistance plus DSHS long-term care and developmental-disability services. That leaves a \$31.729B review base.

Review-base calculation	\$ billions	Treatment
2025-27 NGF-O conference baseline	80.206	Starting point
Less bond retirement and interest	(3.188)	Contractual/debt obligation
Less K-12 core-formula proxy	(29.417)	General apportionment + special education + pupil transportation
Less selected entitlement/caseload lines	(15.871)	Medicaid medical assistance + LTC + developmental disabilities
Review base (upper bound)	31.729	Still contains constrained programs; this is not discretionary spending.

I treat \$31.729B as an upper limit for the review base, not as discretionary spending. It still contains behavioral health, corrections, compensation, grants and other commitments that may be difficult to change. The K-12 subtraction is only a proxy for major formula-driven obligations; it is not an estimate of the constitutional funding floor.

Review rate	Dollar size on \$31.729B	What that level would probably require (my judgment)
0.5% of review base	~\$159M	Start with procurement, payment controls, vacancies and process redesign. I would not book the amount until specific changes are identified.
1.0% of review base	~\$317M	This level probably reaches program, rate or staffing

Review rate	Dollar size on \$31.729B	What that level would probably require (my judgment)
		choices in addition to verified operating efficiencies.
2.0% of review base	~\$635M	At this level, some service design, provider rates, staffing or program scope would have to move.

I would count a scenario as savings only after naming the operating change and its timing. Then I would show the service or workload affected, any offsetting cost or lost federal match, and how the recurring result will be verified.

EXTERNAL PRESSURE

Federal changes enacted in H.R. 1 (P.L. 119-25) now affect Washington's budget directly. OFM identifies higher state administrative costs for SNAP, eligibility changes, Medicaid work-requirement implementation and other effects beginning across 2025-27. Those changes raise program costs regardless of how efficiently Washington operates them.

Example	Timing / scale identified by OFM
SNAP administrative match	State share increases from 50% to 75% beginning October 2026.
Food assistance eligibility	OFM estimated about 30,000 refugees/asylees/other immigrants moving from federal SNAP to state-funded FAP after July 4, 2025.
Medicaid work-requirement systems	State and federal implementation funding across DSHS, HCA and the Health Benefit Exchange; major requirements phase in during 2027.
Noncitizen Medicaid / LTSS eligibility	Eligibility changes begin October 2026; state mitigation choices create separate policy costs.

Source: OFM, "Federal Funding Changes Affecting the State Budget," 2026 supplemental budget highlights; DSHS H.R. 1 updates.

How I would build the management view in Power BI

WASHINGTON FISCAL PERFORMANCE - DASHBOARD PROTOTYPE

Prototype layout; not a live Power BI file



The image above is only a layout mockup. A working PBIX should let an analyst move from a statewide signal to an agency, program, workload driver and source document while keeping the definitions consistent.

Fact table	Grain / purpose
FactBudgetAppropriation	Biennium, fiscal year, agency, program, fund, stage, amount, maintenance/policy level, recurring flag.
FactActualExpenditure	Fiscal month, agency, program, fund, object, actual, encumbrance.
FactRevenue	Month, tax/source, forecast vintage, actual, forecast, variance.
FactCaseload	Month/quarter, program, population served, applications, utilization, demographic segment.
FactOutcome	Period, program, metric, numerator, denominator, target, observed value, source.
FactAuditFinding	Report, agency, finding, recommendation, estimated exposure, owner, due date, status.

Priority measures: recurring gap; reserve ratio; actual-vs-plan variance; revenue forecast error; real per-capita growth; cost per client/output; outcome delta; and a review flag that only says “needs explanation,” never “cut.”

WHAT I WOULD DO NEXT

The statewide comparisons tell me where to look. They are not enough for a program-level conclusion. My next step would be two or three case studies with clean source data and a full breakdown of the cost drivers.

- K-12: separate McCleary funding changes, enrollment, compensation, special education, transportation and categorical programs before judging the remaining growth.
- Medicaid / HCA: decompose state spending into eligible population, utilization, provider rates, pharmacy, federal match and administrative cost.
- Child care / DCYF: pair subsidy caseload, provider-payment rules, payment-control findings and access outcomes.
- Revenue: model how the 2025-26 tax changes alter concentration, volatility and incidence over the next two biennia.

For any recommendation, I would use the same habit: show where the number came from, identify the main driver and put a dollar value on the tradeoff.

SOURCES

Document-level source register

1. 2026 Supplemental Statewide Summary - Conference Proposal

<https://fiscal.wa.gov/statebudgets/2026proposals/Documents/co/scsConf3WaySummary.pdf>

2. 2016 Supplemental Operating Budget - Proposed Final (revised 2015-17)

https://fiscal.wa.gov/statebudgets/2016proposals/Documents/SOAgencyDetail_0329.pdf

3. OFM Population Changes

<https://ofm.wa.gov/data-research/washington-trends/population-changes/>

4. BLS CPI-U annual and semiannual indexes, 2015-2025

https://www.bls.gov/regions/mid-atlantic/data/consumerpriceindexannualandsemiannual_table.htm

5. OFM Revenue Trends - interstate tax and sales-tax rankings; Census-based

<https://ofm.wa.gov/data-research/washington-trends/revenue/>

6. OFM Expenditures Trends

<https://ofm.wa.gov/data-research/washington-trends/expenditures/>

7. Washington DOR - Comparative State and Local Taxes

<https://dor.wa.gov/about/statistics-reports/business-and-sales-taxes/comparative-state-and-local-taxes>

8. Washington DOR - 2025 Tax Legislation

<https://dor.wa.gov/forms-publications/publications-subject/tax-topics/2025-tax-legislation>

9. Washington DOR - 2026 Tax Legislation

<https://dor.wa.gov/forms-publications/publications-subject/tax-topics/2026-tax-legislation>

10. Washington DOR - Income Tax FAQ

<https://dor.wa.gov/taxes-rates/income-tax/frequently-asked-questions-about-income-tax>

11. RCW 82A.04.030 - income-tax rate and effective date

<https://app.leg.wa.gov/RCW/default.aspx?cite=82A.04.030>

12. House Office of Program Research - Summary of Initiative 26-645

<https://leg.wa.gov/media/ucubvqsd/2026-summary-of-initiative-26-645.pdf>

13. Washington Secretary of State - submitted-signature/certification status

<https://www.sos.wa.gov/elections/initiatives-referenda/submitted-signature-statistics>

14. 2017 ESSB 5883 - HB 2242 implementation appropriations, sec. 517

<https://lawfilesexternal.wa.gov/biennium/2017-18/Htm/Bills/Senate%20Passed%20Legislature/5883-S.PL.htm>

15. 2018 ESSB 6032 - E2SSB 6362 implementation appropriation, sec. 501(7)

<https://lawfilesexternal.wa.gov/biennium/2017-18/Htm/Bills/Senate%20Bills/6032-S.E.htm>

16. HB 2242 final bill report - salary/formula phase-in and state/local levy changes

<https://lawfilesexternal.wa.gov/Biennium/2017-18/Htm/Bill%20Reports/House/2242.E%20HBR%20PL%2017%20E3.htm>

17. E2SSB 6362 Senate bill report - accelerated salary implementation

<https://lawfilesexternal.wa.gov/Biennium/2017-18/Htm/Bill%20Reports/Senate/6362-S2.E%20SBR%20APS%2018.htm>

18. OSPI 4-year graduation measure

https://ospi.k12.wa.us/sites/default/files/2026-03/measures_graduation.pdf

19. NCES Table 222.50 - Grade 4 public-school math through 2015

https://nces.ed.gov/programs/digest/d16/tables/dt16_222.50.asp

20. NCES Table 222.60 - Grade 8 public-school math through 2015

https://nces.ed.gov/programs/digest/d16/tables/dt16_222.60.asp

21. OSPI/NAEP 2024 Washington Grade 4 Math Snapshot

https://ospi.k12.wa.us/sites/default/files/2025-01/naep-snapshot_mat_2024_wa_4.pdf

22. OSPI/NAEP 2024 Washington Grade 8 Math Snapshot

https://ospi.k12.wa.us/sites/default/files/2025-01/naep-snapshot_mat_2024_wa_8.pdf

23. OFM - Federal Funding Changes Affecting the State Budget

<https://ofm.wa.gov/budget/state-budget-2025-27/26-proposed-supplemental/budget-highlights/federal-funding-changes/>

24. DSHS - Benefits and H.R. 1

<https://www.dshs.wa.gov/family-food-and-housing-services/dshs-benefits-and-hr-1>